

International Trade: Theory & Practice

Course Objectives

The main objective of this course is to provide a comprehensive, up to date, and clear exposition of the theory of international trade so as to understand the basis for and the gains from trade. In particular, we will study the traditional trade models of Ricardo and Heckscher-Ohlin, and the new trade models based on imperfect competition with increasing returns to scale.

Course Contents

1. Introduction

The Importance of International Economics, Distinguishing Features of International Trade, Foreign Trade and National Interest.

2. The Pure Theories of International Trade

The Mercantilists' Views on International Trade, Trade Based on Absolute Advantage, Trade Based on Comparative Advantage, The Opportunity cost Theory.

3. The Standard Trade Model

The Production Frontier with Increasing Cost, Community Indifference Curve, Equilibrium in Isolation, The Gains from Trade with Increasing Cost, Equilibrium Relative Commodity Prices with Trade, Terms of Trade.

4. The Heckscher-Ohlin Model

Factor Intensity and Factor Abundance, The Heckscher-Ohlin Model, Factor Price Equalization Theorem, Leontief Paradox.

5. Economies of Scale, Imperfect Competition and International Trade

Economies of Scale and International Trade, Trade Based on Product Differentiation, Technological Gap and Product Cycles Models, Cost of Transportation and International Trade, Environmental Standards and International Trade.

6. Economic growth and international trade

Sources of economic growth, classification of technical progress, the effects of growth on trade, immiserizing growth, beneficial growth and trade.

Recommended Books

1. Salvatore, D. (2019). *International Economics*. 13th Edition. John Wiley & Sons, Inc.
2. Appleyard, R. D. and Field, S. J. JR. (2017). *International Economics*. 9th

Edition. McGRAW-HILL Education.

3. Pugel, T. A. (2016). International Economics. 16th Edition. McGRAW-HILL Education.
4. Krugman, P. R., Obstfeld, M. and Melitz, M. (2018). *International Economics*. 11th Edition. Pearson.

- Note:**
1. Duration of course will be 10 weeks.
 2. Total 10 lectures of two hours duration will be delivered.
 3. Class time will be from 7:00 pm to 9:00 pm, once a week.
 4. Atleast 75% attendance is required to get a certificate.

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